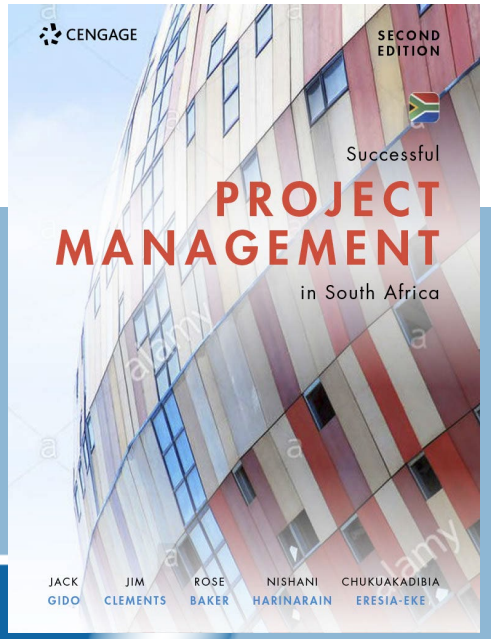
CHAPTER 3



Developing Project Proposals

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Introduction

- Have you ever written a motivation for something you are requesting (at home, college,etc.)?
- What do you think should be included in such a motivation?
- Do all motivations always result in success?

  Why or why not?



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Introduction to Project Proposals

- What is a project proposal?
- What is the purpose of such a proposal?

1. What are the three main sections in a project proposal?
2. What is the purpose and elements of each section?
3. What are the steps involved in creating a credible project proposal?
4. How should a contractor determine the proposal price?

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Chapter Concepts

- Building relationships with customers and partners
- Proposal marketing strategies
- Decision making to develop a proposal/quotation
- Creating winning proposals
- The proposal preparation process
- Elements that may be included in a proposal/quotation
- Pricing considerations
- Customer evaluation of proposals/quotations
- Types of contracts between the customer and the contractor
- Measuring the success of proposal efforts

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Learning Outcomes

- Develop relationships with customers and partners
- Decide whether to prepare a proposal in response to a customer's RFP
- Create a credible proposal
- Determine a fair and reasonable price for a proposal
- Discuss how customers evaluate proposals
- Explain types of contracts and various terms and conditions
- Measure the success of proposal efforts

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Performance Domains of PMBOK® 7th edition covered in this chapter:	Knowledge Areas of PMBOK® 6th edition covered in this chapter:
• Stakeholders • Team • Development Approach and Life Cycle • Planning • Project Work	• Project Procurement Management

Project Management Principles relevant to this chapter

Principle 7 (Tailoring Based on Context)
Principle 9 (Navigate Complexity)

Principle 9 – Complexity: A project can become complex at any point in the project life cycle because of human behaviour, system interactions, uncertainty and ambiguity. Project teams have to be alert to elements of complexity so that they can utilise the appropriate methods to reduce its impact on the project.

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Building Relationships with Customers and Partners

- Foundation for successful funding and opportunities
- Requires good listening and constant learning
- Frequent and regular contact; express appreciation for the client's time
- Trust is key and ethics are imperative
- First impression is important
- Problem solving and credibility grows with good performance
- Partner with several key individuals in an organization
- Building effective and successful relationships takes time and work

Pre-RFP/Proposal/Quotation or Tender Marketing

- Begin developing the relationship before RFP is prepared
  - Can help client identify needs
  - Better position to win the contract
  - Develop a more clearly focused response to RFP
- Pre-RFP and pre-proposal efforts are business development
  - No cost to the customer
  - Help build the relationship
- Unsolicited proposals and uncompetitive contracts
  - Result of identified needs and problem solving
  - Eliminates preparation of an RFP and soliciting process

Decision to Develop a Proposal or Submit a Quotation

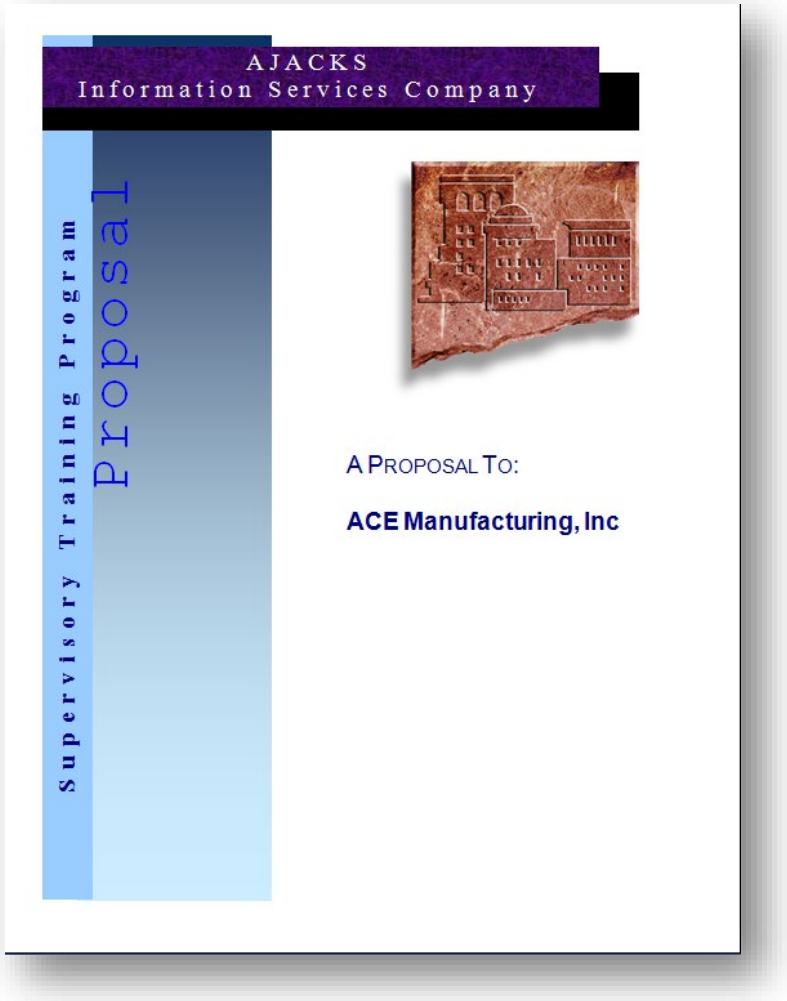
- Development is costly and time consuming
- Contractors must be realistic about their probability of winning a contract
- Evaluate bid/no-bid decision
- Many non-winning proposals hurt reputation
- May be hard to decide to no-bid an RFP

Bid or no-bid?

- **Factors to consider**
  - Competition
  - Risk
  - Mission
  - Extension of capabilities
  - Reputation
  - Customer funds
  - Proposal resources
  - Project resources
  - Figure 3.1: Bid/ No-Bid Checklist (page 74)
- *an example of a bid/ no-bid checklist that a contractor might use in deciding whether to submit a proposal in response to an RFP.*
- *A checklist like this might be used by the contractors to reach a consensus or decide if they should bid for the project by submitting a proposal*

Creating a Winning Proposal

- Selling document
- The best idea to solve the problem
- Highlight unique factors
- Emphasise benefits to the customer
- Be simple and concise
- Addresses requirements from RFP
- Be realistic



In the proposal, the contractor must convince the customer that the contractor:

- Understands what the customer is looking for
- Can carry out the proposed project
- Will provide the greatest value to the customer
- Is the best contractor to address the need or solve the problem
- Will capitalize on its successful experience with previous, related projects
- Will do the work professionally
- Will achieve the intended results
- Will complete the project within budget and on schedule
- Will satisfy the customer

Proposal Preparation

- Proposal team
  - Can be one person or many
  - Various skills and expertise
  - Proposal manager for large proposals
- Proposal development
  - Time for writing, review, and management approval
  - Length dependent upon the RFP requirements
  - Cost of proposal development is part of normal business costs

Proposal Preparation continued…

- Developing a comprehensive proposal for a large project should be treated as a project in itself
- The proposal manager needs to meet with the proposal team to develop a schedule for completing the proposal by the customer's due date
- The schedule should include:

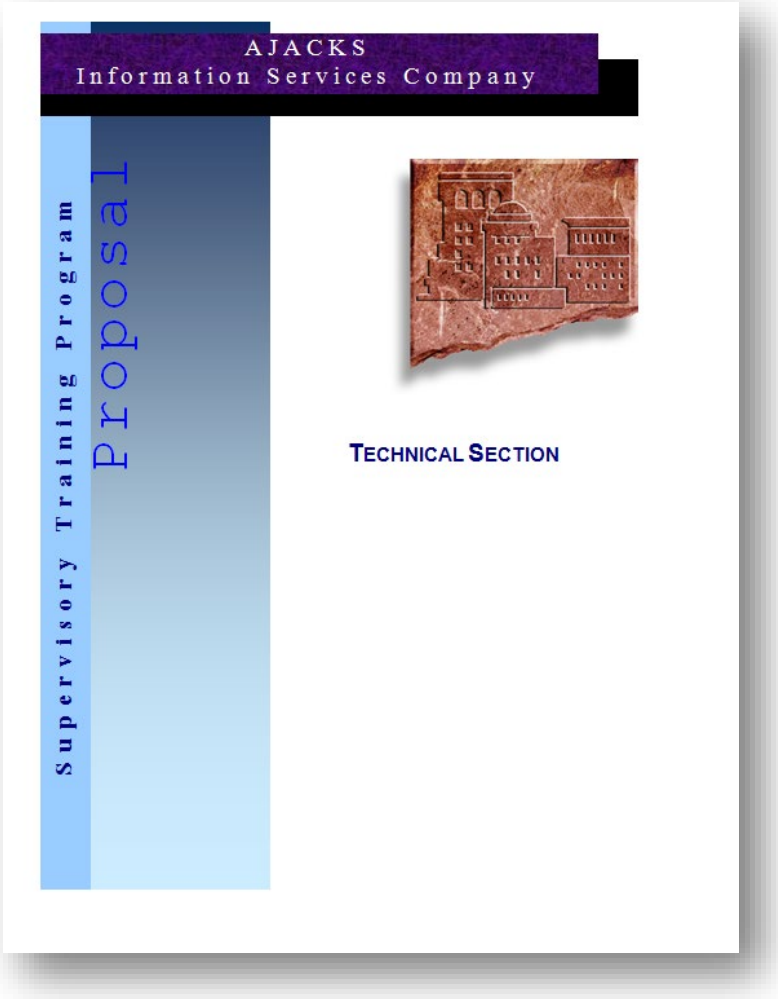
1. Dates by which individuals will have drafts of their assigned portions of the proposal ready
2. Dates for conducting reviews with appropriate people on the proposed team
3. Date by which the proposal will be finalized
4. Time for review and approval by management within the contractor's organization
5. Time allocation for preparing actual documentation – graphic illustrations, typing and printing
6. Time for delivery of the proposal to the customer – some customers may be hundreds of kilometers away from the contractor

Proposal Contents

- Three sections
  - Technical
  - Management
  - Cost
- Detail level
  - Depends on complexity of the project
  - Requirements from the RFP

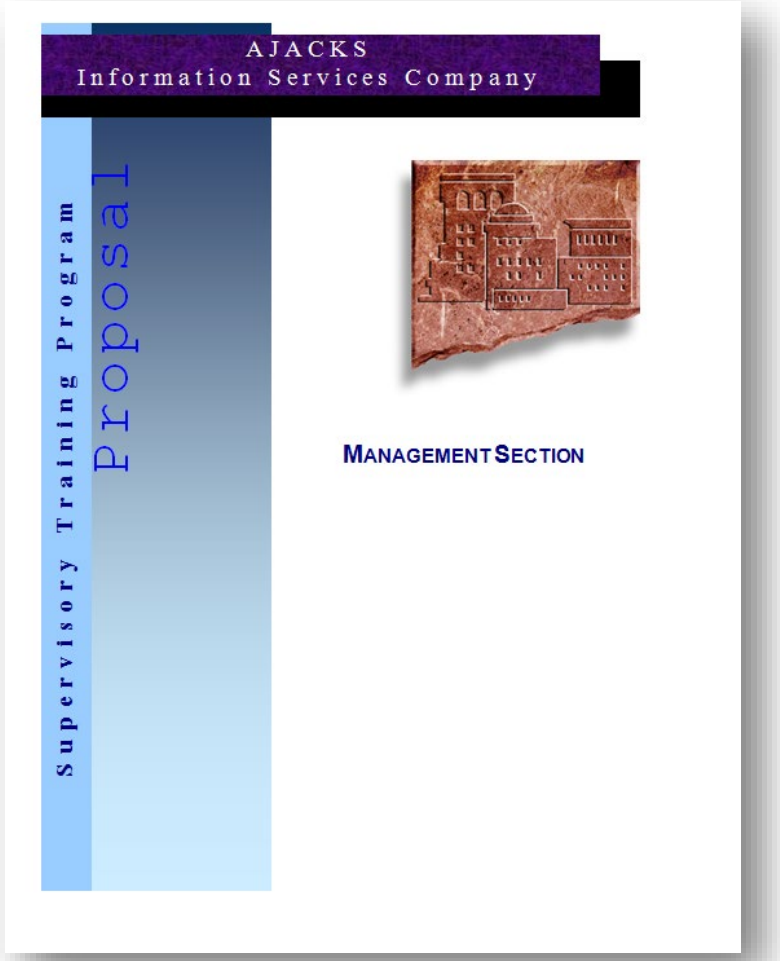
Technical section

- Understand the need
- Proposed approach or solution
- Benefits to the customer



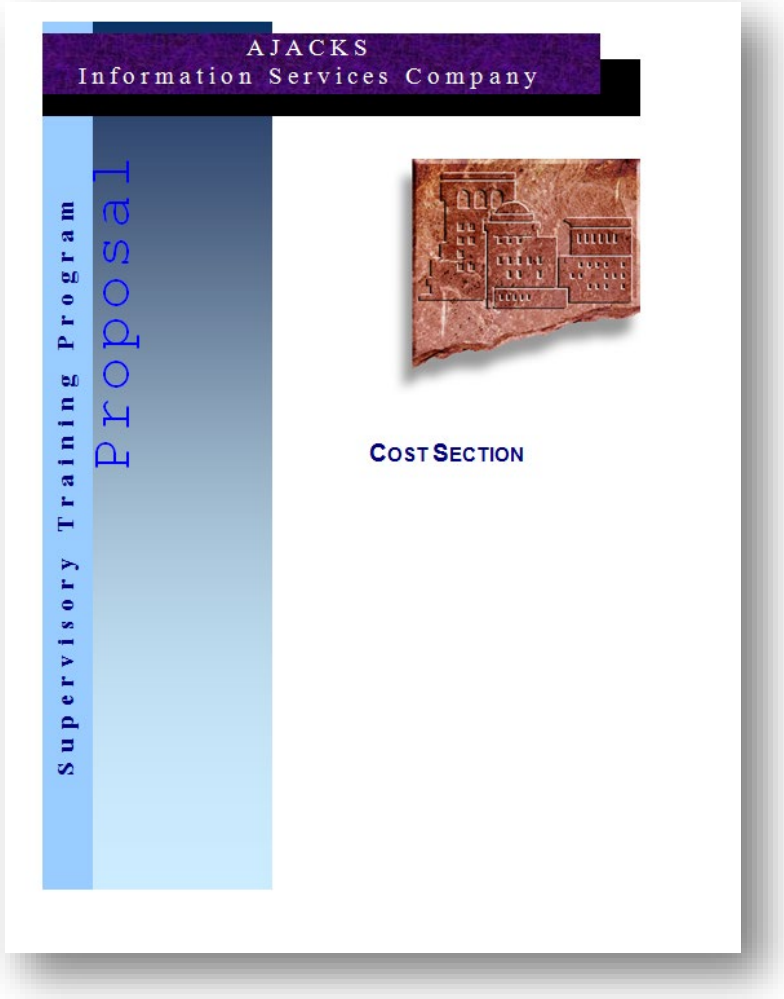
Management section

- Description of major tasks
- Deliverables
- Project schedule
- Project organisation
- Related experience
- Equipment and facilities



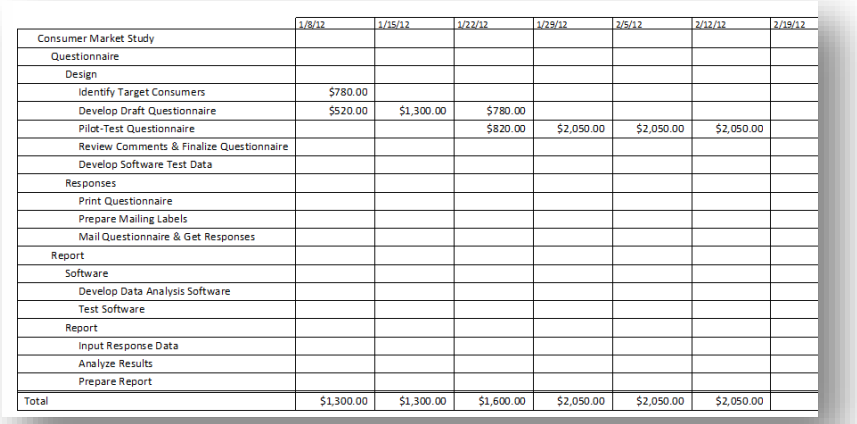
Cost section

- Include estimated costs
  - Labour
  - Materials
  - Equipment
  - Facilities
  - Subcontractors and consultants
  - Travel
  - Documentation
  - Overhead
  - Escalation
  - Reserve
  - Fee or profit



Pricing Considerations

- Competition
- Price
  - Not overpriced or underpriced
- Factors
  - Reliability of cost estimates
  - Risk
  - Value of project to the contractor
  - Customer's budget
  - Competition level



	1/8/12	1/15/12	1/22/12	1/29/12	2/5/12	2/12/12	2/19/12
Consumer Market Study							
Questionnaire							
Design							
Identify Target Consumers	$780.00						
Develop Draft Questionnaire	$520.00	$1,300.00	$780.00				
Pilot-Test Questionnaire			$820.00	$2,050.00	$2,050.00	$2,050.00	
Review Comments & Finalize Questionnaire							
Develop Software Test Data							
Responses							
Print Questionnaire							
Prepare Mailing Labels							
Mail Questionnaire & Get Responses							
Report							
Software							
Develop Data Analysis Software							
Test Software							
Report							
Input Response Data							
Analyze Results							
Prepare Report							
Total	$1,300.00	$1,300.00	$1,600.00	$2,050.00	$2,050.00	$2,050.00	

Simplified Project Proposal

Complex

- Large number of pages
- Defined sections
- Charts and figures
- Tables of information

Simplified

- Statement of the customer's need
- Assumptions
- Project scope
- Deliverables
- Resources
- Schedule
- Price
- Risks
- Expected benefits

Proposal Submission and Follow-up

Submission

- On time
- Formatted properly
- Sent in manner required
  - Hard copies
  - E-mail
  - Electronic form
- Two sets by different delivery methods

Follow-up

- Be proactive
- Professional manner
- Follow RFP guidelines

Customer Evaluation of Proposals

- Customer sets criteria
- Customer may request a best and final offer (BAFO)
- Helps to have common comparison criteria

FIGURE 3.2 Proposal Evaluation Scorecard

Ubuntu Information Services Company
Proposal Evaluation

Project Title: Technical Information Needs of Manufacturers

Contractor: Galaxy Market Research Inc.

Score all criteria on a scale from 1 (low) to 10 (high)

Evaluation Criteria	Weight A	Score B	Points A x B	Comments
1. Approach	30	4	120	Shallow description of methodology
2. Experience	30	3	90	Little experience with manufacturing companies
3. Price	30	9	270	Lowest price bid Supported by details
4. Schedule	10	5	50	Schedule is overly optimistic
Total	100		530	

Advantages of this proposal:

- This is the lowest price proposal received. It appears the salaries of Galaxy's staff are low compared to those of other proposers.

Concerns about this proposal:

- Galaxy may not fully comprehend the requirements.
- Low salaries in its budget may reflect low levels of experience of the staff Galaxy plans to use.
- Optimistic schedule (3 months) to complete project may indicate Galaxy doesn't fully comprehend the work scope.

- Have you ever signed a contract for a mobile phone before you could receive and use it?
- Why do you think signing a contract was necessary?
- Why do you think a contractor that was selected for a project, has to sign a contract with the client before project work can commence?



1. What are the two different types of contracts?

2. When should each of them be used

3. What are the risks involved with eac type of contract?

4. What is the method for measuring the effectiveness and success of proposal efforts?



Contracts

Agreement

- Contract must be signed before starting work
- Establishes communication
- Agreement of deliverables for a certain price

Types

- Fixed Price
  - Price remains fixed
  - Low risk for customer
  - High risk for contractor
  - For well-defined projects with little risk
- Cost-reimbursement
  - Price for actual costs
  - High risk for customer
  - Low risk for contractor
  - For higher risk projects

Contract terms and conditions

- Misrepresentation of costs
- Notice of cost overruns or schedule delays
- Approval of subcontractor
- Customer furnished equipment of information
- Patents
- Disclosure of proprietary information
- International considerations
- Termination
- Terms of payments
- Bonus/penalty payments
- Changes

Measuring Proposal Success

Measures

- Win ratio
  - Number won/number submitted
  - All proposals weighted equally
- Total Rand value
  - Value won/value submitted
  - More weight to larger values

Strategies

- Submit many to win fair share
  - Increase chances of winning
  - May be viewed negatively
- Bid on potential successes
  - Respond where better than average chance to win
  - Must have bid/no-bid process

Critical Success Factors

- Customers and partner organisations prefer to work with people they **know and trust**. Relationships establish the foundation for successful funding and contract opportunities.
- Establishing and **building trust is key** to developing effective and successful relationships with clients and partners.
- The **first impression** one makes on a client is pivotal to developing a continuing and fruitful relationship.
- **Pre-RFP/proposal efforts are crucial** to establishing the foundation for eventually winning a contract from the customer.
- Do not wait until formal RFP solicitations are announced by customers before starting to develop proposals. Rather, **develop relationships** with potential customers long before they prepare their RFPs.
- Working closely with a potential customer puts a contractor in a better position to be selected as the winning contractor. **Learn as much as possible** about the customer's needs, problems, and decision-making process during pre-RFP/proposal marketing.

Critical Success Factors (continued)

- Becoming familiar with the customer's needs, requirements, and expectations will help in preparing a more **clearly focused proposal**.
- **Be realistic** about the ability to prepare a quality proposal and about the probability of winning the contract. It is not enough just to prepare a proposal; rather, the proposal must be of sufficient quality to have a chance of winning.
- A proposal is a **selling document**, not a technical report. It should be written in a simple, concise manner and should use terminology with which the customer is familiar.
- In a proposal, it is important to highlight the **unique factors** that differentiate it from competitors' proposals.
- Proposals must be realistic. Proposals that promise too much or are overly optimistic may be unbelievable to customers, and may raise doubt about whether the contractor understands **what needs to be done or how to do it**.
- When bidding on a fixed-price project, the contractor must develop **accurate** and complete cost estimates and include sufficient reserves.

Summary

- Interested contractors develop proposals in response to a customer's RFP.
- Relationships establish the foundation for successful funding and contract opportunities. Relationship building requires being proactive and engaged.
- Contractors should develop relationships with potential customers long before customers prepare an RFP.
- Because the development and preparation of a proposal take time and money, contractors interested in submitting a proposal in response to an RFP must be realistic about the probability of being selected as the winning contractor.
- It is important to remember that the proposal process is competitive and that the proposal is a selling document that should be written in a simple, concise manner. In the proposal, the contractor must highlight the unique factors that differentiate it from competing contractors.
- Proposals are often organised into three sections: technical, management, and cost.
- Customers evaluate contractors' proposals in many different ways.
- Once the customer has selected the winning contractor, the contractor is informed that it is the winner, subject to successful negotiation of a contract: fixed-price and cost reimbursement are the two types of contracts.
- Contractors measure the success of their proposal efforts by the number of times their proposals are selected by customers and/or by the total Rand value of their proposals that are selected.